

WEBINAR BONUS 03 · VALUE Rs 999

Build Your Algo: The 23-Point Checklist

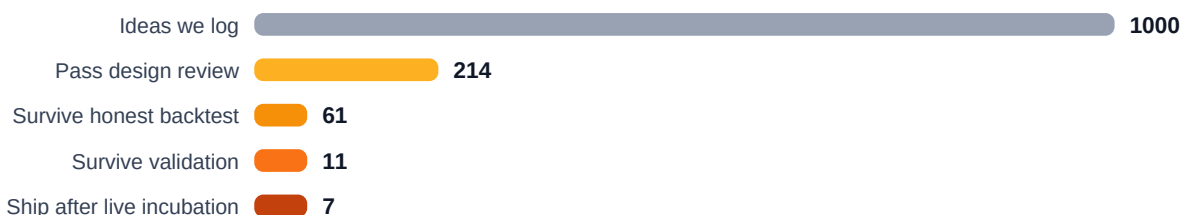
The exact gauntlet every Returns strategy must survive before it touches real money. Use it on your own ideas, and on anything anyone tries to sell you.

THE RETURNS INCUBATION STANDARD

7 ship. 993 die. The checklist is the executioner.

People imagine strategy research as inspiration: a genius spots a pattern, codes it up, retires to Goa. The reality at our desk is closer to a slaughterhouse with paperwork. Ideas arrive daily, from papers, from data, from a founder's shower thought, and nearly all of them are dead within a week, killed by one of the 23 checks below.

A TYPICAL THOUSAND IDEAS AT OUR DESK, AND WHERE THEY DIE



This is the actual shape of it. Most ideas fail the honest backtest, and most of the survivors fail validation. The seven that ship were not the cleverest ideas of the thousand. They were the ones that refused to die.

How to use this document: take any strategy idea, yours or one being sold to you, and walk it through the sections in order. The moment it fails a check, stop. You have just saved yourself real money, which is the highest return this PDF can generate.

Section A · Design, before touching any data

- ☐ **01 The one-sentence edge**
You can say WHY this makes money, and whose mistake it profits from, in one sentence. "It went up in the past" is not a why.
- ☐ **02 A fixed universe**
Which instruments it trades is decided now, in writing. Universes picked after seeing results are how backtests lie politely.
- ☐ **03 Mechanical entry AND exit**
Entry, target, stop and time-exit all have rules. If any leg is "depends on the setup", you have a mood, not an algo.
- ☐ **04 A known worst case**
You can state the maximum loss of one trade before entering. Undefined risk needs an explicit stop mechanism, tested.
- ☐ **05 Capacity sanity**
Your intended size will not move the market at your entry times. Check the actual volumes; do not assume.
- ☐ **06 A regime hypothesis**
You wrote down which conditions SHOULD hurt it: trend, chop, high VIX. If nothing should hurt it, you have missed something.

Section B · Backtest honesty (where lies come to die)

- ☐ **07 Six or more years of data**
The window includes a crash, a grind and a mania. Two years of bull market proves only that bull markets go up.
- ☐ **08 Real transaction costs**
Brokerage, STT, exchange charges, stamp duty, at actual current rates, deducted from every single simulated trade.
- ☐ **09 Honest slippage**
Fills cross the spread. Stops fill WORSE than their trigger, because in real life they do. Zero-slippage results are fiction with axes.
- ☐ **10 No look-ahead**
Every decision uses only what was knowable at that instant. A signal computed on the close cannot also trade at that close.
- ☐ **11 No survivorship bias**
Stock universes include the delisted and the ruined, as they existed then. Testing today's index members on old data flatters everything.
- ☐ **12 Point-in-time contracts**
Options and futures priced from contracts that actually traded, real strikes, real expiries. Interpolated option prices are creative writing.
- ☐ **13 An untouched holdout**
Parameters tuned on one period, then verified once on data the tuning never saw. If you optimised on everything, you memorised, not learned.

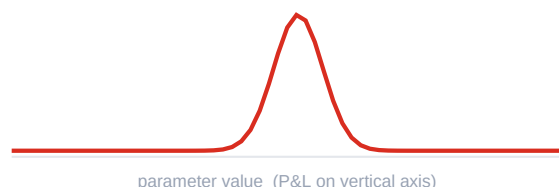
Section C · Validation, where most survivors die anyway

- ☐ **14 Profit factor above 1.3, after costs**
Below that, ordinary variance plus one bad month will eat the whole edge.
- ☐ **15 A drawdown you would actually sit through**
The backtest shows 30%? Live will feel worse. Would you truly keep it running while down 20%? Answer as the person who will be down 20%.
- ☐ **16 Enough trades to mean anything**
At least 100 trades, ideally 300 plus. Twenty trades is an anecdote with confidence.
- ☐ **17 Edge survives a parameter wiggle**
Move every parameter 20% either way. A real edge degrades gently. A curve-fit collapses.
- ☐ **18 Year-by-year consistency**
Profitable or near-flat in most individual years. One monster year dragging five losers is a lottery ticket with a spreadsheet.

CHECK 17, DRAWN: WIGGLE THE PARAMETER AND WATCH WHAT HAPPENS

A real edge is a plateau

A curve-fit is a needle



Section D · Risk and execution readiness

- ☐ **19 A sizing rule welded on**
The strategy carries its own size formula, tied to capital and stop distance. (The Risk Management Playbook, Bonus 01, is the reference.)

☐ **20 Kill rules, decided now**

The consecutive-loss count and the drawdown level that switch it OFF, written before going live, not negotiated during the drawdown.

☐ **21 The pipes tested**

Order types, margins and the exact broker route verified with one real order at minimum size. Discovering a margin surprise at full size is expensive tuition.

Section E · Going live like an adult

☐ **22 Incubate small**

Two to three months at minimum size. The gap between live fills and backtest assumptions is your real slippage. Measure it; do not guess it.

☐ **23 A review date on the calendar**

A fixed date on which live results meet the backtest and one of three words gets said: scale, fix, or kill. Chosen in advance, honoured on the day.

The scorecard

Result	Verdict
Passes all 23	Incubate at minimum size. You are already ahead of nearly every retail "algo trader" you will ever meet.
Fails in A or B	Not a bad idea, an untested one. Fix the test and run it again.
Fails in C	The edge is not real. Kill it without ceremony. This is where our 993 die, and it never stops stinging.
Passes C, fails D or E	Good strategy, unready operator. The market will still be here when D and E are true.

FROM THE DESK

The most expensive check on this list is number 17. We once spent three weeks in love with a strategy that backtested at 140% a year. We moved one threshold from 0.30 to 0.34 and the whole thing evaporated. Three weeks. One wiggle. Cheaper than finding out live.

The seller test: when someone offers you an algo, hand them this list and ask which checks their backtest passes. Be specific: 8, 9, 13, 17 and 22. Then watch the face, not the slides. Silence is also an answer.

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